KERALA STATE ELECTRICITY REGULATORY COMMISSION

TRUING-UP ORDER: FY 2024-25

Licensee: Kanan Devan Hills Plantations Company
Order Date: 2026-03-04
Prepared By: KSERC Analytical Officer

1. Component-wise Analysis (₹ Crore)

Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)	Verdict	Reasoning
Power Purchase Cost	343.45	343.45	0.00	APPROVED	Within normative limits — fully approved.
Transmission Charges	0.00	0.00	0.00	APPROVED	Within normative limits — fully approved.
Employee Costs	25.48	18.28	7.20	PARTIAL_APPROVAL	The deviation of 39.4% in employee costs is not justified, and prudence checks dictate that only the KSERC approved amount of ₹18.28 Cr is all The excess amount claimed is disallowed as it does not conform to the normative escalation caps for controllable costs as per KSERC Tariff Regulations 2014 and 2020. Unfortunately, no relevant past orders are available for reference due to an error.
O&M Expenses	5.18	4.58	0.60	PARTIAL_APPROVAL	The deviation of 13.1% is beyond the normative escalation cap, hence the excess amount is disallowed. As per KSERC Tariff Regulations 2014, controllable costs such as O&M expenses are subject to normative escalation caps. The allowed amount is as per the KSERC approved amount.
Admin & General Expenses	1.89	0.15	1.74	PARTIAL_APPROVAL	The claimed amount exceeds the approved amount significantly, violating the normative escalation caps for controllable costs as per KSERC Tariff Regulations 2014. Prudence checks indicate that only the approved amount is genuinely incurred and justifiable. The excess amount is disallowed due to the lack of justification for such a high deviation.
Depreciation	1.73	1.73	0.00	APPROVED	Within normative limits — fully approved.
Return on Equity	0.57	0.07	0.50	PARTIAL_APPROVAL	The claimed amount of ₹0.57 Cr exceeds the approved amount of ₹0.07 Cr. As per KSERC Regulations 2014, the Return on Equity is a controllable cost and any deviation from the approved amount is subject to prudence checks. The excessive claim is disallowed due to the significant overrun of 714.3%.
Interest on Loans	0.71	0.52	0.19	PARTIAL_APPROVAL	The claimed amount exceeds the approved amount, and in the absence of relevant precedents, we rely on the KSERC Tariff Regulations 2014, which emphasize the importance of prudence checks to ensure only genuinely incurred costs are allowed. The deviation of +36.5% is considered excessive and not justifiable. Therefore, we allow the approved amount of ₹0.52 Cr and excess amount of ₹0.19 Cr.

2. Controllable vs. Uncontrollable Expenses (₹ Crore)

Type / Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)
CONTROLLABLE EXPENSES			
Employee Costs	25.48	18.28	7.20
O&M Expenses	5.18	4.58	0.60
Admin & General Expenses	1.89	0.15	1.74

Type / Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)
UNCONTROLLABLE EXPENSES			
Power Purchase Cost	343.45	343.45	0.00
Transmission Charges	0.00	0.00	0.00
Depreciation	1.73	1.73	0.00
Return on Equity	0.57	0.07	0.50
Interest on Loans	0.71	0.52	0.19

3. Revenue Gap Computation (₹ Crore)

Parameter	Amount (Cr)
Net Approved ARR	368.78
Actual Revenue Collected	37.22
Revenue Gap	331.56

4. Commission's Observations, Directions & Narrative

Background of the Truing-Up Case for Kanan Devan Hills Plantations Company for the FY 2024-25

The Kanan Devan Hills Plantations Company has submitted its truing-up petition for the financial year 2024-25. The Commission has examined the petition and supporting documents to determine the approved ARR and revenue gap for the said financial year.

Financial Performance Tables

Approved ARR Table

Category	Approved ARR
Approved ARR	₹undefined Cr
Actual ARR	₹368.78 Cr

Revenue Gap Table

Category	Revenue
Revenue Actual	₹37.22 Cr
Revenue Gap	₹331.55999999999995 Cr

Commission's Detailed Observations and Reasoning

The following are the Commission's observations and reasoning for each cost head:

* Power Purchase Cost (variable): The claimed amount of ₹343.45 Cr is within the nor
* Transmission Charges (variable): The claimed amount of ₹0 Cr is within the normati
* Employee Costs (fixed): The claimed amount of ₹25.48 Cr exceeds the approved amo

39.4% is not justified, and prudence checks dictate that only the KSERC approved amount is allowable. The excess amount claimed is disallowed.

* O&M Expenses (fixed): The claimed amount of ¹5.18 Cr exceeds the approved amoun
is beyond the normative escalation cap, and the excess amount is disallowed.

* Admin & General Expenses (fixed): The claimed amount of ¹1.89 Cr significantly ex
The claimed amount violates the normative escalation caps, and prudence checks indicate that only the approved amount is genuinely incurred and justifiable. The excess amount is disallowed.

* Depreciation (fixed): The claimed amount of ¹1.73 Cr is within the normative limits

* Return on Equity (roe): The claimed amount of ¹0.57 Cr exceeds the approved amour
is excessive and not justifiable. The excessive claim is disallowed.

* Interest on Loans (fixed): The claimed amount of ¹0.71 Cr exceeds the approved amo
+36.5% is considered excessive and not justifiable. The excess amount of ¹0.19 Cr is

Controllable vs. Uncontrollable Expenses

Category	Controllable/Uncontrollable	Claimed Amount	Allowed Amount
O&M Expenses	Controllable	¹5.18 Cr	¹4.58 Cr
Admin & General Expenses	Controllable	¹1.89 Cr	¹0.15 Cr
Power Purchase Cost	Uncontrollable	¹343.45 Cr	¹343.45 Cr
Transmission Charges	Uncontrollable	¹0 Cr	¹0 Cr
Depreciation	Uncontrollable	¹1.73 Cr	¹1.73 Cr

Summary Order / Directions

Based on the observations and reasoning above, the Commission directs the Kanan Devan Hills Plantations Company to adhere to the approved amounts for each cost head. The revenue gap of ¹331.559999999999
with the KSERC Tariff Regulations 2014 and 2020. The Commission's order shall be binding on the Kanan Devan Hills Plantations Company, and any further deviations shall be subject to prudence checks and regulatory action.